

Acme Corp - Performance Review Policy

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Approved By: Sarah Chen, VP of Human Resources

Applies To: All full-time and part-time employees of Acme Corp

1. Purpose

This policy establishes Acme Corp's performance management framework, including review cycles, rating criteria, feedback processes, performance improvement plans, and promotion guidelines. Our goal is to foster a culture of continuous feedback, professional growth, and accountability.

2. Performance Review Cycle

2.1 Annual Review

Acme Corp conducts a formal annual performance review in January each year, covering the previous calendar year (January 1 - December 31). The annual review includes:

- Self-assessment: Employee completes a written self-evaluation of goals achieved, key contributions, and areas for growth.
- Peer feedback: Each employee receives feedback from 3-5 peers nominated by the employee and approved by the manager.
- Manager assessment: The manager evaluates the employee's performance against established goals and competencies.
- Calibration: Department-level calibration sessions ensure consistency and fairness in ratings across teams.
- Review meeting: The manager and employee meet to discuss the assessment, ratings, feedback, and development goals.

2.2 Mid-Year Check-In

A formal mid-year check-in is conducted in July to:

- Review progress on annual goals
- Identify any obstacles or support needed

- Adjust goals if business priorities have shifted
- Discuss career development aspirations

The mid-year check-in does not result in a formal rating but is documented in the Acme HR Portal.

2.3 Continuous Feedback

Beyond formal reviews, Acme Corp encourages ongoing feedback between managers and employees:

- Weekly 1:1 meetings: Required for all employees (see Remote Work Policy, ACME-HR-002)
- Real-time feedback: Managers and peers are encouraged to give timely, constructive feedback throughout the year
- Recognition: Acme Corp's peer recognition platform ("Acme Kudos") allows employees to publicly acknowledge colleagues' contributions

3. Performance Rating Scale

Employees receive one of the following ratings during the annual review:

Rating	Label	Description
5	Exceptional	Consistently exceeds all goals
4	Exceeds Expectations	Frequently exceeds goals; make
3	Meets Expectations	Consistently meets all goals a
2	Needs Improvement	Partially meets goals; some pe
1	Unsatisfactory	Fails to meet minimum expectat

3.1 Rating Distribution Guidelines

To maintain fairness and differentiation, Acme Corp uses the following recommended distribution guidelines (not rigid quotas):

Rating	Recommended Distribution
5 - Exceptional	~5-10% of employees
4 - Exceeds Expectations	~20-30%
3 - Meets Expectations	~50-60%
2 - Needs Improvement	~5-10%
1 - Unsatisfactory	~0-5%

These guidelines are reviewed annually by the leadership team and adjusted as needed based on organizational performance.

4. Goal Setting

4.1 SMART Goals

All employees set 3-5 SMART goals at the beginning of each calendar year (or upon hire):

- Specific: Clearly define what will be accomplished
- Measurable: Include quantifiable metrics or deliverables
- Achievable: Realistic given available resources and time
- Relevant: Aligned with team and company objectives
- Time-bound: Include deadlines and milestones

4.2 Goal Alignment

Individual goals should align with:

1. Team objectives: Defined by the department head
2. Company OKRs (Objectives and Key Results): Set quarterly by the leadership team
3. Career development: At least one goal should focus on professional growth

4.3 Goal Documentation

All goals are documented in the Acme HR Portal and visible to the employee and their manager. Goals may be adjusted mid-year with mutual agreement during the mid-year check-in.

5. Compensation and Performance

5.1 Merit Increases

Annual merit increases are tied to performance ratings:

Rating	Typical Merit Increase Range
5 - Exceptional	6-10%
4 - Exceeds Expectations	4-6%
3 - Meets Expectations	2-4%
2 - Needs Improvement	0%
1 - Unsatisfactory	0%

Merit increases take effect on April 1 following the annual review. The actual increase within each range depends on the employee's current position in their salary band, budget availability, and market data.

5.2 Bonuses

Eligible employees may receive annual performance bonuses based on individual performance and company financial results:

- Target bonus: Varies by level (typically 5-15% of base salary for individual contributors; 10-25% for managers and above)
- Bonus multiplier: Based on a combination of individual performance rating and company performance
- Payout timing: March of each year, covering the prior calendar year

5.3 Equity Refresh Grants

High-performing employees (rating of 4 or 5) may be eligible for annual equity refresh grants, subject to board approval and equity pool availability.

6. Promotions

6.1 Promotion Criteria

Promotions at Acme Corp are based on:

- Sustained performance: Demonstrated track record of exceeding expectations (minimum one annual review cycle at the current level with a rating of 4 or 5)
- Readiness for next level: The employee is already performing at the next level's expectations
- Business need: A role or scope increase exists to support the promotion
- Manager recommendation: The employee's manager sponsors the promotion through the calibration process

6.2 Promotion Process

1. The manager submits a promotion recommendation during the annual review calibration session.
2. The recommendation includes evidence of performance, scope expansion, and alignment with next-level expectations.
3. Department head and HR review and approve/deny the recommendation.
4. Approved promotions take effect on April 1 alongside merit increases.
5. Promotions are accompanied by a title change, a salary adjustment to the new level's band, and updated responsibilities.

6.3 Promotion Salary Adjustments

Promoted employees receive a salary increase to bring them to at least the minimum of the new level's salary

band, with a typical promotion increase of 10-15% of base salary (in addition to any merit increase).

7. Performance Improvement Plans (PIPs)

7.1 When PIPs Are Used

A Performance Improvement Plan is initiated when an employee receives a rating of 2 (Needs Improvement) or 1 (Unsatisfactory), or when significant performance concerns arise between review cycles.

7.2 PIP Components

Each PIP includes:

1. Specific performance deficiencies: Clear description of what is not meeting expectations
2. Expected standards: What "Meets Expectations" performance looks like for each deficiency
3. Action plan: Specific steps the employee must take, with measurable milestones
4. Support provided: Training, mentoring, reduced workload, or other resources the company will provide
5. Timeline: PIPs typically last 30, 60, or 90 days depending on the severity and nature of the deficiency
6. Check-in schedule: Weekly meetings between the employee and manager to review progress
7. Consequences: Clear statement that failure to meet PIP requirements may result in demotion, reassignment, or termination

7.3 PIP Outcomes

At the conclusion of the PIP:

- Successful completion: The PIP is closed, and the employee returns to normal performance management. A note is placed in the employee's file.
- Partial improvement: The PIP may be extended for an additional 30 days (maximum one extension).
- Failure to improve: The employee may be terminated, demoted, or reassigned, at the discretion of the manager, HR, and department head.

7.4 Employee Rights During PIP

- Employees on a PIP continue to receive their full salary and benefits.
- Employees may request a meeting with HR to discuss any concerns about the PIP process.
- PIPs are not retaliatory; they are designed to provide a structured path back to good standing.

8. Feedback Best Practices

8.1 For Managers

- Provide specific, actionable feedback (not vague generalizations)
- Balance positive recognition with constructive suggestions
- Document feedback in the Acme HR Portal for reference during reviews
- Address performance issues promptly - don't wait for the annual review
- Seek to understand the employee's perspective before drawing conclusions

8.2 For Employees

- Actively seek feedback from your manager and peers
- Approach feedback with a growth mindset
- Document your accomplishments and contributions throughout the year for self-assessment
- Raise concerns about goals or expectations early, before they become performance issues

9. Performance Review Timeline

Date	Activity
January 1-15	Self-assessments and peer feed
January 15-31	Manager assessments completed
February 1-15	Department calibration session
February 15-28	Review meetings between manage
March	Bonus payouts processed
April 1	Merit increases and promotions
July	Mid-year check-ins

10. Confidentiality

Performance reviews, ratings, and related documentation are confidential. Access is limited to:

- The employee
- The employee's direct manager and skip-level manager
- HR personnel involved in the review process
- Senior leadership during calibration sessions

Employees should not share their performance ratings or compensation details with colleagues, except in the context of protected concerted activity under applicable labor law.

11. Appeals Process

Employees who disagree with their annual performance rating may submit a written appeal to HR within 15 business days of their review meeting. The appeal should include:

- The specific rating being contested
- Evidence supporting the employee's position
- Requested resolution

HR will review the appeal with the employee's skip-level manager and respond within 15 business days.

12. Policy Compliance and Questions

Employees with questions about performance reviews, goals, or the PIP process should contact their manager or the HR department at hr@acmecorp.com or extension x4500.

This policy is subject to change at the discretion of Acme Corp management. Employees will be notified of material changes via email and the Acme HR Portal.